over 14 per cent in the international market in just over a month—from $82.9 a barrel on August 24 to $95 on September 29. There are fears that crude prices may breach the $100 mark by early next year.

What will this mean for India? Since the country imports more than 80 per cent of its crude oil requirement, high crude oil prices are bound to hurt the economy. India's crude oil imports rose 9.4 per cent year-on-year in 2022-23 to 232.4 million tonnes (MT). In value terms, crude oil imports for the fiscal were at $158.3 billion (Rs 13.2 lakh crore), up from $120.7 billion (around Rs 10 lakh crore) in 2021-22, an increase of 31 per cent. Helping create this spike is the rising demand for petroleum products. India's consumption of petroleum products in 2022-23 rose over 10 per cent year-on-year to a record 222.3 MT. The country's crude oil production, however, was only 29.2 MT in 2022-23. This has led to the need for higher imports of crude oil.

As a rule of thumb, every $10 increase in crude oil prices can cause the CAD to expand by 40-50 basis points. One basis point is one-hundredth of a percentage point. Higher CAD can affect investor confidence and further weaken the rupee, which has already depreciated to 83 to a dollar. A weaker currency can make imports more expensive, leading to higher inflation and a reduction in people's purchasing power. In the June quarter of this fiscal, India's CAD widened to $9.2 billion (Rs 76,420 crore) or 1.1 per cent of the GDP from $1.3 billion (Rs 10,799 crore) in the previous quarter. This was driven by a growing trade deficit or the difference in the value of imports and exports, reduced net services surplus and lower private transfer receipts (mainly representing remittances by Indians employed overseas), adding pressure on the local currency. India's merchandise exports have been slowing due to a fall in demand in western countries and China, which widens the trade deficit. "We may expect the CAD to be in the region of 1.5-1.8 per cent of the GDP for the year, but this will hinge a lot on the oil economics," says a research note from Bank of Baroda.

Indeed, inflation had cooled down in August due to the easing of food prices, compared to the 15-month high in July. Consumer Price Index (CPI)-based inflation softened to 6.8 per cent in August, after surging to 7.4 per cent the previous month. However, it's still too early to believe that inflation will keep declining now as certain components in food continue to exhibit price rigidity in the upper regions. Moreover, high crude oil prices now threaten to negate any relief that could have accrued to the economy on account of low inflation. Fuel prices in India are already high, with the price of petrol more than Rs 100 for a litre in several parts of the country. However, the Centre is unlikely to hike fuel prices in India due to the impending assembly elections in a few states and the Lok Sabha election in 2024.

"Rising crude prices, if sustained, can show up as higher headline inflation print via direct and cascading effects—through higher prices at the retail pump, and through higher production and transport costs, respectively," writes D.K. Joshi, chief economist, Crisil. "This can also push up the fiscal deficit and CAD, given high subsidies and import dependence. It can also moderate GDP growth." The Economic Survey for 2017-18 had noted that a $10 per barrel jump in oil prices trims the GDP by 20-30 basis points, he adds. On an optimistic note, though, he says India's macro economy will be able to withstand such transitory spikes in crude prices. But the people may feel the pinch ■

9.4%

Y-O-Y RISE IN INDIA'S CRUDE OIL IMPORTS IN 2022-23 TO 232.4 MILLION TONNES

222 MT

INDIA'S CONSUMPTION OF PETROLEUM PRODUCTS IN 2022-23. IT PRODUCED ONLY 29.2 MT CRUDE IN 2022-23

IMPACT OF RISING OIL PRICES

- It widens the current account deficit (CAD)
- High CAD is likely to affect investor confidence
- Can lead to a weaker rupee, making imports expensive
- Can trigger high inflation and reduce purchasing power

EVERY $10 JUMP IN CRUDE PRICES CAN WIDEN THE CURRENT ACCOUNT DEFICIT BY 40-50 BASIS POINTS, STOKING INFLATION